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i&M Bank LIMITED

i&M Bank Kenya Q3 Earnings Note

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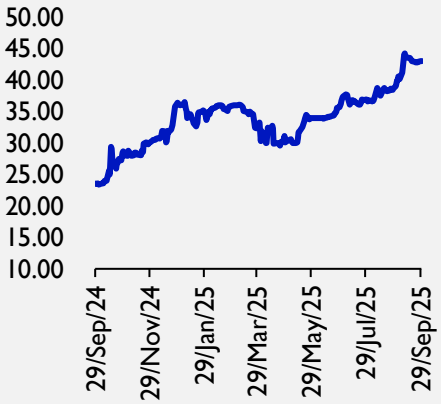
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I&M Bank Q3'25 Earnings Note

11th December, 2025

Ticker Information	
NSE Code:	IMH
Issued Shares (Bn):	1.74
52-week high:	KES 46.00
52-week low:	KES 15.80

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	11.3%	20.3%	32.9%	83.0%

Source: NSE, AIB-AXYS Research

Recommendation	Current Price	Target Price
HOLD	**KES 45.20**	**KES 48.51**

Summary

- **I&M Group delivered a strong Q3'2025 performance, posting a 29.1% y/y rise in profit after tax to KES 12.68Bn**, driven by solid growth across both funded and non-funded income streams. Net interest income increased 21.3% y/y to KES 31.82Bn, supported by a significant uplift in income from government securities, while non-interest income rose 17.0% y/y to KES 11.34Bn despite weaker FX trading activity. Earnings per share rose to KES 6.88, which guided the Board to declare an interim dividend of KES 1.50 per share. Overall, the Group's performance points to a strong execution under the Imara 3.0 strategy, disciplined risk management, and increasing contributions from regional subsidiaries.

Key Highlights

- **Earnings Mix:** I&M delivered strong top-line momentum in Q3'2025, with operating income supported by double-digit growth across both funded and non-funded revenue streams. Net interest income increased 21.3% y/y to KES 31.82Bn, driven by 48.0% surge in income from government securities, which closed the quarter at KES 15.02Bn. This offset the 7.0% decline in interest income from loans, which ended the period at KES 32.45Bn as a low-interest environment continued to squeeze margins.
- Non-funded income rose 17.3% y/y to KES 11.19Bn, signaling a strong performance in payments, digital lending, and asset management, although FX trading income softened by 14.1% to KES 2.42Bn. The combined uplift in NII and NFI underlines the Group's diversified income base and reinforces the earnings resilience achieved under the Imara 3.0 strategy.
- **Operating Efficiency:** Operating expenses rose 16.0% y/y to KES 25.85Bn, showcasing continued investment in digital infrastructure, talent, and branch expansion. Efficiency improved as the cost-to-income ratio strengthened to 45.0% from 47.0%, supported by strong top-line growth. Overall, the bank's operating leverage continues to benefit from process automation and expanding transactional volumes across its digital and physical channels.

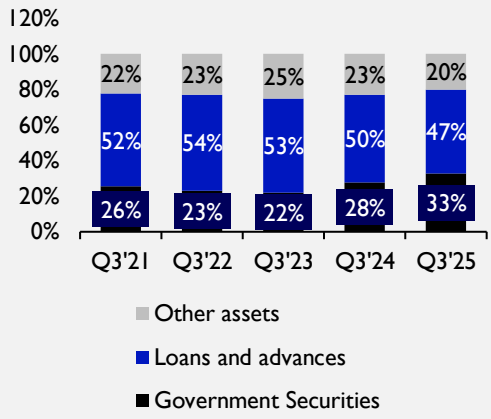
Balance Sheet Dynamics

I&M's balance sheet remained strong in Q3'2025, with total assets expanding 12.4% y/y to KES 640.42Bn, supported by steady loan growth. Loans and advances rose 7.0% y/y to KES 301.91Bn, speaking to a measured expansion across corporate, commercial, and retail segments as the Group maintained disciplined credit selection.

Customer deposits increased 10.0% y/y to KES 455.85Bn, driven by growth in both CASA and term deposits, and reinforced by robust performance across regional subsidiaries. The loan-deposit ratio improved to 66.0% from 68.0%, highlighting strengthened liquidity and a more comfortable funding position.

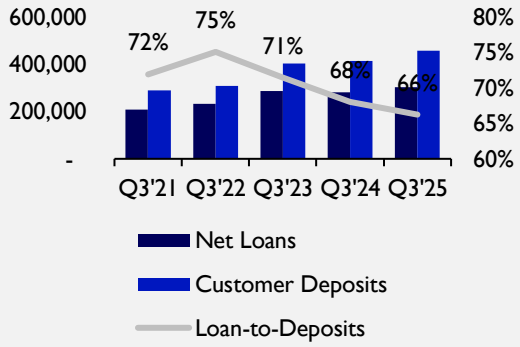
Government securities holdings rose sharply by 81.0% y/y to KES 134.08Bn, providing a stable income buffer amid softer loan yields and supporting the bank's balance sheet diversification. The Group's overall funding and liquidity profile remains healthy, complemented by its strong regional footprint and consistent customer acquisition momentum

Chart 2: Asset Composition



Source: Company filings, AIB-AXYS Research.

Chart 3: Faster Deposit Mobilization



Source: Company filings, AIB-AXYS Research.

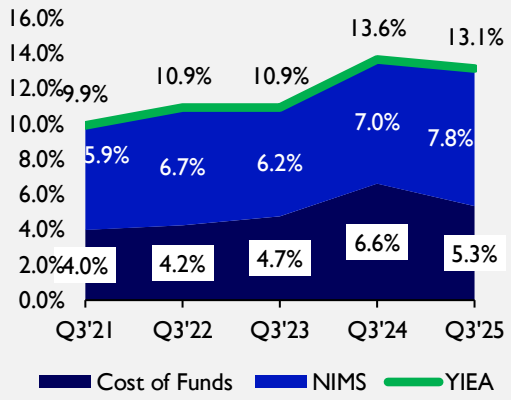
Asset Quality

I&M's asset quality strengthened in Q3'2025, with gross non-performing loans declining 7.0% y/y to KES 33.17 Bn, driving the NPL ratio down to 9.9%, well below the industry average of 17.6%. Loan loss provisions increased 22.0% y/y to KES 18.54Bn, showcasing a disciplined provisioning approach aimed at maintaining robust coverage levels. The Group continues to enhance credit controls, intensify client engagement, and expand digital collections, supporting the resilience of the loan book

Outlook

I&M enters the final quarter of 2025 with strong momentum, supported by a resilient balance sheet, improving asset quality, and continued execution under the Imara 3.0 strategy. Regional subsidiaries remain a central pillar of the Group's growth trajectory, with Rwanda, Uganda, Tanzania, and Mauritius all delivering double-digit expansion across key metrics, reinforcing earnings diversification and stability. Rising digital adoption and expanding transaction volumes should continue to lift efficiency and deepen customer engagement, while disciplined risk management supports credit quality. Overall, the Group is well-positioned to sustain steady growth into FY2026.

Chart 4: Expanding Net Interest Margins



Source: Company filings, AIB-AXYS Research.

Recommendation

- **We take a NEUTRAL view on I&M Holdings, noting that the stock's current price already prices in its improved earnings trajectory and steady operational execution.** At the current market price, the stock is trading at P/E ratio of 4.1x and a P/B ratio of 0.7x. Our one-year target price for I&M currently stands at KES 48.51- representing a c 7.3 % upside potential from current

Income Statement (KES Bn)	Q3'21	Q3'22	Q3'23	Q3'24	Q3'25	% y/y change
Net Interest Income	13,988.2	16,164.7	19,133.2	26,280.1	31,818.9	▲ 21.1%
Net non-Interest Income	6,184.5	8,844.0	10,719.7	9,484.8	11,185.6	▲ 17.9%
Total Operating income	**20,172.6**	**25,008.7**	**29,852.9**	**35,764.9**	**43,004.6**	▲ 20.2%
Provision for Impairment	(2,825.0)	(3,603.1)	(4,623.9)	(5,499.7)	(6,703.5)	▲ 21.9%
Total Operating expenses	(12,527.5)	(14,920.0)	(19,192.2)	(22,362.0)	(25,845.3)	▲ 15.6%
Profit before tax	**7,645.2**	**10,088.7**	**10,660.7**	**13,402.8**	**17,159.3**	▲ 28.0%
Profit after tax	**5,738.0**	**7,176.1**	**8,201.5**	**9,946.4**	**12,675.9**	▲ 27.4%
DPS	0.00	0.00	0.00	1.30	1.50	▲ 15.4%

Balance Sheet (KES Bn)	Q3'21	Q3'22	Q3'23	Q3'24	Q3'25	% y/y change
Government Securities	102,288.7	98,832.7	119,998.6	156,691.9	210,090.2	▲ 34.1%
Loans and Advances	207,605.4	231,240.4	287,333.7	281,342.1	301,905.4	▲ 7.3%
Total Assets	**399,069.3**	**428,676.0**	**544,100.6**	**567,719.3**	**640,416.7**	▲ 12.8%
Customer Deposits	288,684.9	308,045.4	402,410.7	413,806.1	455,849.1	▲ 10.2%
Total Liabilities	**326,857.7**	**355,181.3**	**458,837.9**	**473,608.6**	**519,168.7**	▲ 9.6%
Shareholder's Funds	**68,006.4**	**68,442.3**	**79,098.0**	**87,616.2**	**113,785.8**	▲ 29.9%

Ratio Analysis	Q3'21	Q3'22	Q3'23	Q3'24	Q3'25	% y/y change
Spreads Analysis						
Yield on Assets	9.9%	10.9%	10.9%	13.6%	13.1%	▼ (0.5%)
Cost of Funds	4.0%	4.2%	4.7%	6.6%	5.3%	▼ (1.3%)
Net Interest Margin	5.9%	6.7%	6.2%	7.0%	7.8%	▲ 0.8%
ROaE	13.7%	13.9%	16.5%	16.8%	17.9%	▲ 1.1%
ROaA	2.3%	2.3%	2.5%	2.5%	3.0%	▲ 0.5%
Profit Margin	28.4%	28.7%	27.5%	27.8%	29.5%	▲ 1.7%
Operating Efficiency						
Cost to Income Less LLP	48.1%	45.3%	48.8%	47.1%	44.5%	▼ (2.6%)
Cost to Assets Less LLP	2.4%	2.6%	2.7%	3.0%	3.0%	▲ 0.0%
Loan to Deposit Ratio	71.9%	73.8%	71.4%	68.0%	66.2%	▼ (1.8%)
Asset Quality						
Gross NPL Ratio	10.3%	9.7%	12.0%	11.9%	10.4%	▼ (1.6%)
NPL Coverage	70.6%	75.4%	51.8%	61.3%	69.5%	▲ 8.2%
Cost of Risk	1.4%	1.6%	1.6%	2.0%	2.2%	▲ 0.3%

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